EXECUTIVE SUMMARY

1. Introduction

The City Government of Tuguegarao, Cagayan (City), was originally created in May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City". R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City for the year 2025 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs, projects, and activities, and performed other audit procedures as deemed necessary.

2. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2025.

The objective of the audit is to determine whether the resources of the City have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the City.

3. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the City for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase/ (Decrease)
Financial Condition:			
Assets	₱5,157,038,108.96	₱4,909,278,026.68	₱247,760,082.28
Liabilities	1,479,779,110.38	1,323,381,986.04	156,397,124.34
Government Equity	3,677,258,998.58	3,585,896,040.64	91,362,957.94

Accounts	2025	2024	Increase/ (Decrease)
Results of Operation:			
Income	1,679,019,473.60	1,465,722,146.22	213,297,327.38
Expense	1,403,269,517.37	1,184,642,113.21	218,627,404.16
Net Income	275,749,956.23	281,080,033.01	(5,330,076.78)
Appropriations, Allotments and Obligations:			
Appropriations – Current	1,770,385,132.94	1,568,978,181.74	201,406,951.20
Allotments – Current	1,770,385,132.94	1,568,978,181.74	201,406,951.20
Allotments – Continuing	569,397,448.57	611,297,908.10	(41,900,459.53)
Obligations – Current	1,336,894,842.45	1,249,898,538.69	86,996,303.76
Obligations – Continuing	210,885,825.73	235,381,805.69	(24,495,979.96)

4. Operational Highlights

Among the reported accomplishments of the City in CY 2025 is the completion of the following major infrastructure projects, among others, funded from various sources:

Project/Program/Activity Name	Total Cost Incurred
Concreting Of Road:	
Annafunan West, Adduru Street	₱1,945,964.09
Centro 12-Rosal Street	991,217.43
Dadda- Barucbuc Street	1,354,933.57
Linao West-Alan Street	864,372.84
Annafunan East - Macababbad Street Zone 5	1,038,989.32
Buntun - Caranguian Street	497,200.00
Cataggaman Pardo - Core Shelter	1,874,914.67
Dadda - Road along Cemetery Road	941,219.23
Namabbalan Sur - Eco Road	474,490.00
Tanza - White House & Baltazar Alley & Chico Street	924,201.74
Libag Norte - Lacambra & Tambauan Street (Farm to Market)	1,983,720.06
Rehabilitation of Road:	
Larion Bajo-Zone 2 to 3	1,342,624.52
Pallua Sur-Soriano Street	937,631.88
Concreting with Drainage:	
San Gabriel-Lanzones Street	3,642,403.42
Ugac Sur-Anza Street	870,696.31
Construction of Drainage:	
Larion Alto-Zone 2	1,011,927.25
Leonarda-Dupaya Street	999,695.97
Pengue-Ruyu -Apple Street	1,023,385.13
Tanza-Maharlika Highway to Santol Street	1,969,452.53

Project/Program/Activity Name	Total Cost Incurred
Carig Sur - Badajos Street Extension	1,998,136.09
Centro 02 - Magallanes-Aguinaldo Street (Corner Mabini)	1,798,317.40
Centro 05 - Del Rosario Street	1,991,653.53
Dadda - Allam Street	944,780.38
Larion Bajo - Zone 1	552,619.63
Pengue-Ruyu - Zone 4 & 5, Sunkist Street	1,599,095.72
Tanza - Rosal Street Zone 6, Panacal Village	954,706.54
Ugac Norte - Mabini & Maribbay Street Interior	872,635.20
Rehabilitation of Draiange:	
Centro5-Zamora Street	1,192,677.06
Upgrading of MRF Sanitary Landfill- Carig Norte	4,993,618.13
Construction of Storge Facility Sanitary Landfill-Carig Norte	657,655.28
Sanitary Landfill Development-Carig Norte	14,508,898.36
Purchase of Lot-Sanitary Landfill	19,000,000.00
Atulayan Sur - Cabalza & Tuliao Street	1,884,104.69
Centro 8 - Legaspi Street	1,975,511.89
Other Drainage Structures:	
Centro 10 - Gomez to Gonzaga Street	5,095,844.39
Installation of Streetlights:	
Gunnacao Street.; Pinacanauan Nat Tuguegarao Ave; Rizal Street; Balzain Highway; Bagay Road; Delpol; Gonzaga Street	6,737,877.00
Other Socio-Economic Services:	
Various Construction Materials for the use of the Bahayanihan Program Phase V (Executive Governance Service Fund)	1,981,835.00
Various Construction Materials for the use of the Bahayanihan Program Phase V (LDRRM Services Fund) – PB-G-2025-020	4,000,000.00
Supply and Delivery of Crossbred/Purebred Dairy Buffaloes for Livestock Dispersal and Dairy Industry Development Project of the City Veterinary Office, Tuguegarao City	1,519,050.00
Supply and Delivery of Goats for Livestock Subsidies to Farmers and Livestock Growers,	2,465,300.00
Supply and Delivery of Hybrid Yellow Corn Seeds to be Distributed to the Different Corn Areas and Barangays in Tuguegarao City	4,646,400.00
Upgrading/Demolition/Reconstruction of Tuguegarao City Public Market (Main Contract)	412,000,000.00
Rehabilitation of COVID Facility for CICL - Gosi Norte	764,784.00
Construction of Multi-Purpose Building	555,315.02
Const. of Multi-Purpose Bldg. (Evacuation Ctr.) - Buntun,	1,467,167.46

Project/Program/Activity Name	Total Cost Incurred
Barangay Hall	
Rehabilitation of City Demo Farm Training Center - Gosi Norte	853,053.51
Improvement of Government Facility for KADIWA-City Hall Grounds	1,378,212.00
Procurement of Service Vehicle for the use of the City Mayor's Office, Tuguegarao City	3,403,138.00
Procurement of Motor Vehicle - Dropside Truck for the use of the City Veterinarian's Office, Tuguegarao City	996,400.00
Procurement of Brand new Patrol Car for the use of the Tuguegarao Component City Police Station	3,196,480.00
Procurement of Brand new Pickup Vehicle for the use of the BFP, Tuguegarao City	1,620,000.00
Procurement of Brand new Elf - Wing Type Utility Vehicle for the use of the City General Services Office, Tuguegarao City	2,381,820.00
Procurement of construction and heavy equipment - Boom Truck for the use of the City General Services Office, Tuguegarao City	4,249,800.00
Procurement of construction and heavy equipment - Water Truck for the use of the City General Services Office, Tuguegarao City	4,225,000.00
Procurement of Additional Response Equipment and Additional Rescue Vehicles/ Procurement of Disaster and Rescue Search and Emergency Transport - Tow Truck for the use of CDRRMO, Tuguegarao City	4,195,000.00
Supply, Delivery and Installation of CCTV Cameras, Pepripherals and Accessories for the use of the City Command Center, Tuguegarao City	1,945,750.00
Total	**₱549,291,676.24**

5. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the City as of December 31, 2025 due to the following:

1. The non-preparation of Monthly Bank Reconciliation Statements for the City's *Cash in Bank – Local Currency, Time Deposits* accounts precluded the timely reconciliation and adjustment of the noted variance of ₱27,615.40 between the balance per bank confirmation and the corresponding book balance reported in the Statement of Financial Position as at December 31, 2025.

   Likewise, unadjusted reconciling items in the Bank Reconciliation Statements of the City's *Cash in Bank – Local Currency, Current Accounts* resulted in an

understatement of ₱5.753 million in the balances reported in the Statement of Financial Position as at December 31, 2025. Both conditions are contrary to Section 74 of Presidential Decree No. 1445 and Items 3.1–3.3 of COA Circular No. 96-011, thereby affecting the fair presentation of the accounts in the City's financial statements.

2. The improper accounting recognition and recording of construction materials inventory amounting to ₱2.193 million, procured under the City's BAHAYANIHAN Program, contrary to Section 113 of Presidential Decree No. 1445 and COA Circular No. 2015-009, resulted in unreliable inventory account balances and misstated expenses, thereby affecting the accuracy, reliability, and fair presentation of the City's financial statements as of December 31, 2025.

3. Discrepancies in the provision of depreciation for various Property, Plant, and Equipment acquired and completed in CY 2025 resulted in a net understatement of Depreciation Expense and Accumulated Depreciation totaling ₱9.438 million, which consequently overstated the City's total assets as at December 31, 2025, contrary to International Public Sector Accounting Standard 45.

4. The Construction in Progress (CIP) account balances of ₱426.408 million as at December 31, 2025, include at least 20 projects totaling ₱32.260 million that have already been completed, resulting in the overstatement of CIP balances and the corresponding understatement of the related Property, Plant, and Equipment, and depreciation accounts.

   Additionally, 67 projects totaling ₱367.994 million have remained dormant for an extended period, raising concerns over proper reclassification, depreciation, or impairment recognition, for projects that may be completed, abandoned, or no longer capable of providing future economic benefits or service potential. These issues are contrary to COA Circular No. 2015-009 and International Public Sector Accounting Standard 45, which compromise the fair presentation of the City's financial statements as at December 31, 2025.

5. Despite noted improvements in the recording of expenses, various disbursements incurred in CY 2025, totaling ₱24.467 million, were still misclassified under the account *Other Maintenance and Operating Expenses*, contrary to the Revised Chart of Accounts for Local Government Units prescribed under COA Circular No. 2015-009 dated December 1, 2015, thereby affecting the fair presentation of the related accounts in the City's financial statements as at December 31, 2025.

6. The extended dormancy of receivables totaling ₱12.362 million, without a provision for impairment or the initiation of a request for write-off, as prescribed by Sections 111 and 112 of Presidential Decree No. 1445, International Public Sector Accounting Standards 41, and COA Circular No. 2023-008, raises concerns on the reliability and accuracy of these accounts and consequently affects the fair presentation of the City's financial statements.

6. Summary of Significant Findings and Recommendations

A. The submission of the Department of Labor and Employment–approved Construction Safety and Health Programs was not strictly enforced for various infrastructure projects totaling ₱104.731 million, resulting in: (a) delayed submission for projects amounting to ₱27.525 million; and (b) non-submission of approved Construction Safety and Health Programs for projects amounting to ₱77.206 million.

We recommended that the Management, through the Bids and Awards Committee, ensure that all infrastructure projects undertaken by the City are supported by duly approved Construction Safety and Health Programs in strict compliance with Section 5 of DOLE Department Order No. 13, series of 1998 and Section 37.2.3(f) of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184 in order to protect the interest of the City.

B. The City did not submit the copies of contracts and the corresponding supporting documents for nine (9) infrastructure contracts awarded and implemented in CY 2025, totaling ₱17.660 million, to the Audit Team, contrary to the period of submission prescribed under COA Circular No. 2009-001 dated February 12, 2009, thereby precluding the timely review and assessment of the procurements' compliance with applicable procurement rules and regulations.

We recommended that the Management, through the City Accounting Office, submit the copies of contracts and the corresponding supporting documents for the nine (9) projects totaling ₱17.660 million and, thereafter, ensure the timely submission of all copies of contracts, purchase orders, and supporting documents for perfected contracts in strict compliance with Sections 3.1.1 and 3.2.1 of COA Circular No. 2009-001.

C. As of December 31, 2025, the City achieved a notable overall 27.58 percent reduction in delayed remittances of withholding taxes, mandatory deductions, and contributions arising from government obligations and disbursements compared to CY 2024, reflecting improved management of its statutory obligations; however, delayed remittances totaling ₱7.296 million were still observed during the year, contrary to Section 69 of Presidential Decree No. 1445 and other applicable laws, rules, and regulations, which may expose the City to potential penalties, interest charges, and compliance risks.

We recommended that the Management, through the Offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by:

a. Promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of Presidential Decree No. 1445 and other applicable laws, rules, and regulations; and

b. Sustaining ongoing efforts to analyze identified negative balances, further verifying their nature and cause, and making the necessary adjustments as needed to resolve any discrepancies.

D. The City utilized ₱147.464 million, representing 43.35 percent of the total available 20% Development Fund appropriations of ₱340.148 million, which resulted in the full implementation of 43 programs, projects, and activities (PPAs) amounting to ₱106.838 million and the partial implementation of 13 PPAs, with cumulative obligations of ₱52.720 million.

However, a majority of the approved PPAs, 74 out of 130, with aggregate appropriations of approximately ₱155.081 million, remained unimplemented, resulting in low overall fund utilization, which is inconsistent with the principle of optimal and timely use of development funds, as prescribed under DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, and DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020.

We recommended that the Management, through the City Engineering Office and other concerned offices, to:

a. Closely monitor and prioritize the implementation of ongoing or pending PPAs, and maintain and regularly update accurate implementation status reports to ensure that project timelines proceed as scheduled and support informed management decisions and reliable progress reporting;

b. Strengthen pre-implementation activities, including confirmation and validation of site readiness, property ownership, stakeholder consent, and coordination with other government agencies, particularly the Provincial Government and the Barangays, to avoid overlapping infrastructure works, thereby minimizing the risk of project cancellation, suspension, or delays; and

c. Ensure that PPAs included in the approved Annual Investment Program are procurement and implementation-ready, consistent with the requirements of DBM–DOF–DILG JMC No. 1 dated November 4, 2020, to improve fund utilization and facilitate timely delivery of project outputs.

E. The City utilized ₱58.526 million, or 76.63 percent of its current appropriations under the 5% Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to ₱76.371 million as of December 31, 2025, thereby advancing its objectives of mitigating disaster

risks and enhancing disaster preparedness and response capacities in compliance with Section 21 of Republic Act No. 10121.

However, a substantial portion of the fund amounting to ₱44.582 million remained unutilized, resulting in an overall utilization rate of only 55.26 percent of the total available 5% LDRRMF of ₱139.523 million, which reflects suboptimal performance and does not fully align with the principles of efficiency, economy, and effectiveness required for government operations under Section 2 of Presidential Decree No. 1445.

We recommended that the Management, through the City Disaster Risk Reduction and Management Office, mitigate disaster risk and maximize disaster preparedness and response capacities in the City by:

a. Promptly programming and allocating the remaining balances of continuing appropriations and the Trust Fund into well-defined, time-bound, and impact-oriented programs, projects, and activities (PPAs); and

b. Ensuring that the PPAs funded under the 5% LDRRMF are judiciously planned and procurement and implementation-ready to avoid delays in project execution and thereby improve fund utilization.

F. Contractors' correspondence and compliance with the rectification of deficiencies in seven (7) inspected infrastructure projects implemented by the City, totaling ₱62.961 million, could not be evaluated due to the non-submission of accomplishment reports and other supporting documents substantiating the corrective works undertaken by the concerned contractors, pursuant to Sections 62.2.2 to 62.2.3, Rule XIX of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.

We recommended that the Management, through the City Engineering Office, ensure the submission of all outstanding accomplishment reports and supporting documents for the remaining seven (7) inspected infrastructure projects, and closely monitor the contractors' compliance in carrying out the required corrective works to address the identified deficiencies, in accordance with Sections 62.2.2 to 62.2.3, Rule XIX of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.

G. Despite the completion on March 25, 2025 of the reconstruction of the Tuguegarao City Don Domingo Public Market (main contract) in Balzain East, Tuguegarao City, at a total project cost of ₱412 million, the facility has yet to be fully operationalized, thereby deferring the realization of anticipated return on investment from market rentals, stall fees, and other commercial activities that could otherwise support the City's socio-economic programs and development initiatives.

We recommended that the Management, through all concerned offices, take immediate steps to operationalize the Tuguegarao City Don Domingo Public Market by resolving outstanding concerns related to the constitution of the Market Committee in accordance with existing City ordinances and guidelines, to facilitate the proper selection, approval, and allocation of market spaces.

7. Summary of Total Suspensions, Disallowances and Charges

The total unsettled audit suspensions, disallowances, and charges of the City, as reflected in the Status of Audit Suspensions, Disallowances, and Charges (SASDC) for the quarter ending December 31, 2025, are as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 264,789.14	-	-	₱ 264,789.14	0.00%
Current Year	-	-	-	-	0.00%
Total	264,789.14	-	-	₱ 264,789.14	0.00%
Disallowances					
Prior Years	₱5,689,817.68	-	-	₱5,689,817.68	0.00%
Current Year	-	-	-	-	0.00%
Total	₱5,689,817.68	-	-	₱5,689,817.68	0.00%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Grand total	**₱5,954,606.82**	-	-	**₱5,954,606.82**	**0.00%**

Disallowances totaling ₱4,823,821.75 are on appeal with the Commission on Audit.

8. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	25	51.02%
Not implemented	14	28.57%
Not implemented and reiterated in CY 2025 AAR	10	20.41%
Total	**49**	**100.00%**